

Particulars	Strike Price	Price
1 Nifty call sold	25,150	₹65
1 Nifty call sold	25,300	₹30

The margin required for this strategy is ₹2,30,000.

Let us calculate the reward, net premium paid, break-even point, and the Nifty beyond which there is unlimited loss.

Particulars	Amount	
Spread	$25,150 - 25,000 = 150$	$25,300 - 25,150 = 150$
Net premium paid (Maximum risk if Nifty falls)	$₹125 - ₹65 - ₹30 = ₹30$	
Break-even point	Strike price of option bought + Net premium paid $= 25,000 + ₹30$ $= 25,030$	
Maximum reward	Spread - net premium paid $= ₹150 - ₹30$ $= ₹120$	
Nifty beyond which there is unlimited loss	Highest strike price of options sold + Reward $= 25,300 + ₹120$ $= 25,420$	

Let's see what happens in different scenarios:

Particulars	Nifty at 25,000 or below	Nifty at 25,150	Nifty at 25,300	Nifty above 25,420
Outcome of buying 25,000 call	Premium of ₹125 lost	Gain = $25,150 - 25,000 - ₹125 = ₹25$	Gain = $25,300 - 25,000 - ₹125 = ₹175$	Gain = Nifty - $25,000 - ₹125$